

Description	Up Breakout	Down Breakout
Percentage reaching 3× height	38%	13%

Wait for breakout. Because the breakout direction isn't known until price closes outside one of the trendline boundaries, don't try to anticipate the breakout direction. Price may reverse at the trendline, handing you a loss.

Stops location. Let's say price breaks out upward. Compute the target price and make a profit-and-loss assessment of the potential trade. What is the likely downward move compared with the target price? Does the potential profit justify the risk of the trade? For [Figure 10.7](#), there is support in the 46-to-47 area.

Looking for prior peaks and valleys helps determine support and resistance levels. In March 1995 (not shown in the figure), there was an area of congestion bounded by a symmetrical triangle with an apex at about 46. Additional resistance appeared in July and October, as shown. Together, the 46-to-47 area made a good location for a stop-loss order.

Let's say the stop price you select is at 45.75, just below the bottom of the support area. If the breakout price is 50.50 (which is the close the day after the upward breakout), that gives a potential loss of less than 10%. With a target price of 55.50, or 10% upside, the win/loss ratio is an unexciting one-to-one. In such a situation, you could either tighten your stop by moving it higher (and risk getting taken out by normal price action) or look elsewhere for a more profitable trade.

Remember there is no rule that says you have to place a trade. Let me also say that I'm not a fan of win/loss ratios. If you trade patterns well, the profit should come.

Intraformation trading. If the broadening pattern is tall enough, go long after price rebounds off the lower trendline and hope for an immediate upward breakout. Only try this if you're an experienced swing trader and only after the pattern passes all of the identification guidelines.

Partial decline. A partial rise correctly predicts a downward breakout 47% of the time. However, a partial decline correctly predicts an upward breakout 75% of the time. So if you can tell when a partial decline is in place, meaning the broadening pattern is fully formed (see “Partial decline”